one does away with trying to time the investment and averages the investments. Averaging the investment can be understood from the example of regularly buying an index like the S&P BSE Sensex on the first of every month for three years. In this period, the index would go up or down, but you continue to invest a fixed sum each month to invest, which averages out the price at which you invest in the index.

This approach doesn't guarantee you the best returns but it does guarantee less stress with your investments. There are phases when such investments may face loss in value, especially when the markets are falling, but rupee cost investing mitigates risk. The idea is to invest regularly and not wait for the right day to invest or a time when you have a lot of money to invest. As much as one looks for days when the markets are low to benefit from subsequent rise, it is also possible that, in the waiting period, one loses out on the best days in the markets impacting long-term RoI (return on investment). ■

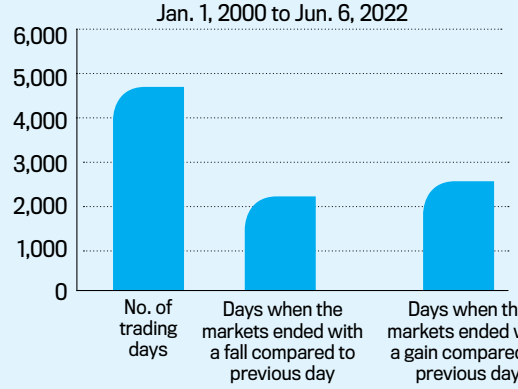
BIG WIN IN THE LONG TERM

RUPEE COST AVERAGING	
No. of months	**270**
Total SIP invested	**₹2,70,000**
Value of SIP	**₹14,60,038**
Gains	**₹11,90,038**

Data based on monthly SIP of Rs 1,000 in the S&P BSE Sensex from Jan. 1, 2000 to June 1, 2022. In these 270 months, the value of the index went up from 5,205 to 55,675, which is a little under 11 times

MISSING BEST DAYS

Sensex trading days from Jan. 1, 2000 to Jun. 6, 2022



Over 5,579 trading days in a 22-and-a-half year period, the markets closed in the negative (compared to the previous day's closure) on 2,582 days. On 31 of these days, the markets had a 5% or more drop, which could be considered the best days to invest, because the markets were at a low compared to the previous day's closure. Similarly, the markets had a 5% or higher gain compared to previous closure on 21 days, which could be seen as bad days to invest as the markets were higher than the previous closure

MYTH #3

INVESTING IS TOO RISKY

There are numerous instances of stock markets crashing. This gives the impression that investing is a risky proposition. However, over time, markets effectively gain in the long run. There are several segments of the stock market with different risk grade and the universe of equity mutual funds has funds with different levels of risk. Depending on an individual's comfort with risk, there is a fund category or stock that one can invest in.

Moreover, individuals have different financial goals that are spaced out over time with different time frames—short, medium and long term. When investing for the long term, such as retirement in case of a 20-something investor, the risk is evened out over a 20 to 30-year investment time frame. As seen earlier, over the past 22 years, the Sensex has gained 10 times despite several dips in the market.

Choose investments that match your financial goal and investment time frame and chances are you will mitigate the investment risk. The key to making money in equity markets is not to get scared and bail out, but to stay invested for the long run over market ups and downs. ■

Seasoned investors are those who believe in spending time in the market than timing the market

MYTH #4

IT IS SAFER TO HAVE CASH

Money in the bank is safe. But it doesn't retain its value even if one were to argue that there is a guaranteed interest on the savings or deposit. A major concern about keeping cash in the bank is inflation. It is good to keep short-term savings in the bank, but money for the medium- or long-term is best invested to grow in value to beat inflation.

Yes, your parents or senior family members may keep talking of the good old days when banks paid double-digit interest rates and inflation was low. Those days of low inflation of below 3-4 per cent are long over in India, and so is the regime of high fixed returns on bank savings and deposits. Today, for your savings to retain real worth (adjusted to inflation), it needs to be invested. Moreover, with increasing longevity, you are likely to live for 25-30 years after you stop working at 60. You will need to rely on your savings and investments, which need to grow in value and which is not the case if you were to rely on cash. ■